

History of Globalization

□ Lecture 2: International Trade

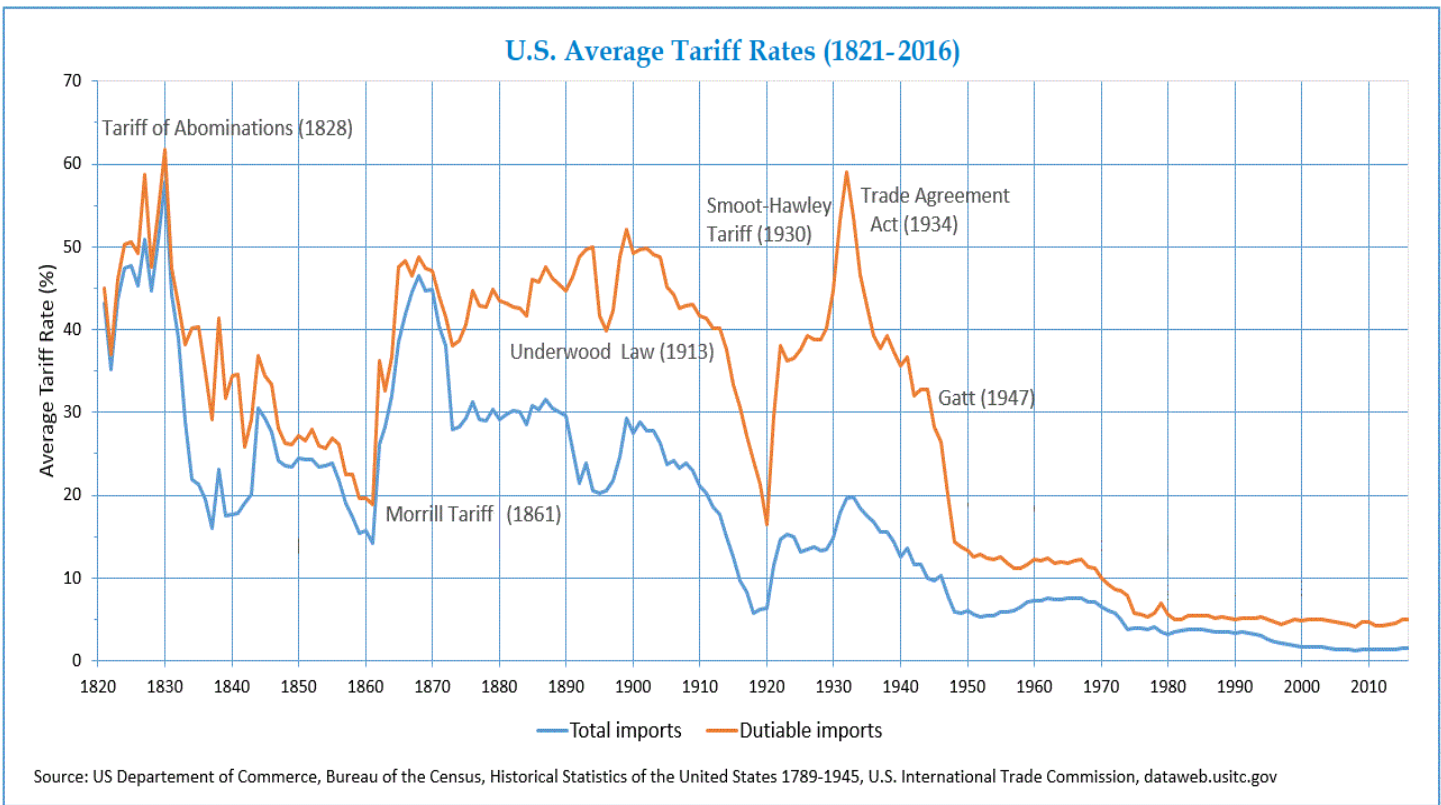
- James and Lake (1989)
 - The construction of intl markets, 19th c.
 - Private regulation and global ordering
 - The GATT/WTO system
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1- James & Lake (1989), The US trade policy and the repeal of the Corn Laws.

- The paper starts with a theoretical discussion of 'hegemony' and its two main forms:
 - **A benevolent form**, derived from the classic contribution by Economic historian Kindleberger: the Hegemon provides free-of-charge a set of public goods that regulate the world, esp the world economy.
Examples: peace (the British Navy, or NATO), a working intl monetary system (£- or \$-based, plus the IMF), an international trading regime (GATT/WTO), etc.
 - **A coercive form**, where the Hegemon 'actively manipulates the policies of other states'. In turn this can be based on:
 1. Economic sanctions, foreign or military aid, the monopoly to access to some strategic resource (rare earths, etc), etc. Here, J&L
 2. **Market power**, which is the object of this paper
 3. Ideas, ideologies, political representations, hence the capacity to 'control the agenda'. That is the 'Gramscian' dimension.
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- ❑ Here, J&L starts from **the repeal of the Corn laws (1846)**, initially est. in 1815 to protect British farmers from intl competitors: in the wake of the Napoleonic war, the Govt thought the country should be able to feed itself even in a worst case scenario.
 - ❑ Corollary: **food was more expensive and labour costs higher - ote.** Industrial interests, esp in Manchester (the heart of the textile industry) soon started a long and very public campaign in favour abolition.
 - ❑ The repeal marked **a major turning point** : over the following decades, Britain became a mass importer of primary goods, and a mass exporter of manufactured goods, in a **classic imperial division of labour with the non-West**. The repeal of the Corn Laws were one the 'triggers' of the First Global Era (1870-1914), with its core in London – hence at a time when the industrial supremacy was increasingly contested.
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- James and Lake then discuss Britain's 'coercive hegemonic' power from the perspective of pre-Civil War US:
 - Since the early 19c, American tariff policy was highly conflictual and unstable, due to the frontal conflict of interest between:
 - The protectionist North wanted to protect its 'nascent industries' against foreign, esp British competition – just like all emerging economies.
 - The free-trade, slave-based South was happy to export its raw cotton to Britain and import British manufacturing goods (and French luxury products).
 - AND in-between: the fast growing, agro-based West, was a "wild card", sometimes allied with the North project to rapidly grow the domestic US market, and sometimes with the South drive to international export-led growth.
 - The crux of J&L's argument: by opening its domestic grain market, in 1846, Britain entirely redeployed the domestic political economy of US trade policy; it threw the West in a full, stable alliance with the South which delivered 15 years of rather stable low-tariff policy
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□ Hence the conclusion:

By repealing the Corn Laws, and “by altering factor and sector profit rates, and hence investment patterns, Britain augmented and mobilized the political influence of the interests within nonhegemonic countries most amenable to an international division of labour premised on (...) the free exchange of primary goods for British manufactured goods”

□ And J&L then add:

The US did the same thing in the 1950s, by resisting the pressure of domestic protectionist interest and reducing its tariffs vis-à-vis Europe without immediate reciprocal reductions. This can be understood as an attempt to manipulate political game in these countries.

- One could also think to the EU policy with Eastern Europe, post-1989.
 - But what about the GATT/WTO ?
 - And Trump’s neo-protectionism ??
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2 - Free trade & the construction of global markets

- Free trade was much less entrenched in the 19th c. than in recent decades (and until recently)
 - A first period of tariff reduction slowly starts in the 1840s, accelerates with the abolition of the British Corn Law (1846), followed by the 1864 treaty of commerce between Britain and France.
 - No international/ multilateral organization or treaties: on bilateral treaties, or unilateral policies.
 - But only one broadly accepted (multilateral) principle: the Clause of the “Most-Favored Nation”: the lightest international rule of coordination ever seen (and still at the core of “WTO Law”):
 - The ‘Jay Treaty’ between the US and UK (1794)
 - The 1864 UK/ France commercial treaty includes formally the MFN clause, which becomes at that point a key plank of intl trade policies.
 - Yet, this clause is NOT per se a guarantee against protectionist backlash. It is primarily a smart way to economize on the transaction costs of building a multilateral trade system.
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□ The return to protectionist policies:

- German tariffs are increased in 1879, then again in 1885 and 1887; on both corn (from Eastern part of Prussia) and industrial products (from the emerging Ruhrgebiet): this reflects the interests of the governing elites of the new Reich, just as the relation between the West and the North in pre-civil war US.
- France: agricultural tariffs are gradually increased during the 1880s, until the broader, famous 'tarif Méline' is adopted in 1892;
- Idem in Sweden, Italy, etc.

□ Yet, a free-trade club resists: GB, Dk, Switz. (the dominant industrial power of the day, plus typical small-open economies).

- ## □ And, the US remain protectionist throughout the century,
- ... with the more liberal episode from the late 1840s onwards, followed by a sharp increase of tariffs during and after the Civil War (Northern industrial interests have won against Southern free-traders).
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- Together with tariffs, was a second powerful trend : **the fall in transport costs, hence an easier integration of markets**
 - This phenomenon is observed first at the domestic level, with the development of canals then, on a much larger scale, with railways
 - The construction of the **Erie Canal**, between NYC and Buffalo (1817-1825) shortens transport time from 21 to 8 days; costs fell by 85%
 - **Size of railway networks** in 1850 and 1890 (in thousands of miles):

Germany:	3,6	>	25,4
USA:	9,0	>	116
France:	1,7	>	22,9
Britain:	6,6	>	20,1
Russia:	0,3	>	18
 - The shift to 'steamers' also affects directly the cost of sea transport, hence the integration of markets. And add the Suez and Panama !
 - Hence the conclusion: **tariff increases were partly balanced by lower transport costs.**
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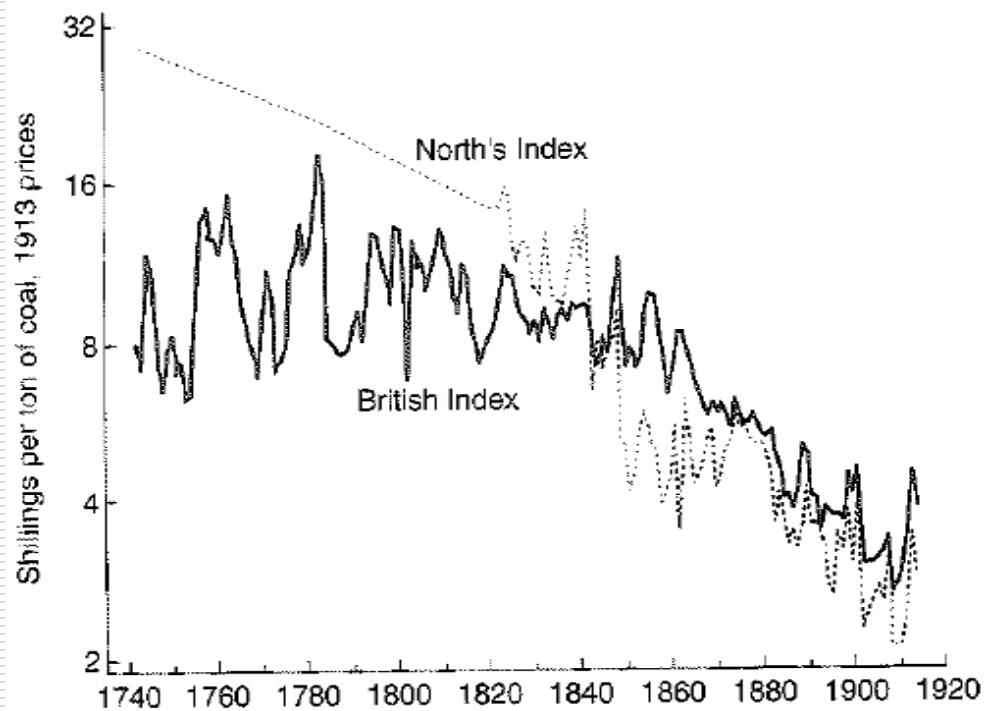


Figure 3.2

Freight rate indexes, 1741–1913. Source: Harley (1988, figure 1), nominal rates deflated by UK GNP deflator.

Winners and losers of trade liberalization: a classic political economy

□ In Europe:

- *Land owners* were generally protectionist (German Junkers, great land owners in Sweden, French farmers) – unless they produced high-value, export products like quality wine and silk;
- *Manufacturers* were typically protectionist in countries that were catching-up (Ger, Ita, Swe); but they were free-traders in industrially dominant countries (GB during the 19c., USA in 20c).
- *Social democratic movements*, at the turn of the 20th C., are free-traders: they want lower food prices and export growth.

□ In America:

- *Cotton growers* in the South, just like great landowners in Argentina, Canada or Australia are free-traders;
 - *Manufacturers in the American North East* are protectionist, just like the militants industrializers in Japan or (later) Latin America: '*infant industries*' should be protected.
 - *Grain producers*, in the Mid-West, are in an intermediary position (See Scott & Lake)
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3- The paradox of privately-governed markets and Westphalian politics

- **A classic 19th c. question:** how could you have at the same time.
 - Highly integrated, competitive, global markets, and
 - A 'Westphalian' international political regime, where hard-headed, realist or Westphalian Sovereigns competed for supremacy, dominated the peripheries and did not cooperate well;
 - ... in a world where the legal and judicial authority of core states on their nationals was a key dimension of how Sovereignty was conceived.
 - In classic, 19th c. international law, **states were the only active, self-standing, legitimate actor on the international scene;**
 - Citizens and businesses entered and acted on the international scene only on the basis of the rights they had gained with their home-State.
 - In particular, no notion of Human Rights as self-standing, supra-national rules.
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- In practice, global markets were organized and regulated by private merchants, i.e. by (typically London-based) private, self-governed, non-regulated 'trade associations', working at a **clear distance from the institutions and strategies of sovereign states**.
 - Britain enforced its intl. political order and regularly waged small or larger wars, from Africa to India, China and even in Latin America.
 - But British military might did not directly support or guarantee trade, or even sovereign debts: up to a point, hard geopolitics and markets operated in parallel.
 - In London, markets were organised on a competitive, private basis, with huge presence of foreign (mostly European) merchants who wanted to share the benefits of huge, well-integrated trading and financial place. Hence, the muscle behind effective private regulation was market power: **the threat of being excluded** from the dominant markets was generally enough to discipline merchants. They were **no need to rely on political or military intervention to enforce commercial transaction**.
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The case of the *London Corn Trade Association*

- The LCTA was established and governed by a small group of elite merchants in 1878
 - It adopted **grain standards** (for all traded cereals).
 - It drafted, printed and sell **standard contracts** (with unified unit volumes, conditions of delivery, delays of payment, etc)
 - Dispute between merchants were resolved by way of **arbitration**, by the Ass^o(with an appellate procedure): very rarely did the cases end up in an official court.
 - And if you did not respect the decision, you could be excluded from the whole market, ie blacklisted.
 - Therefore: **a remarkably light, private model of governance, that ultimately rests on English law and English courts, and indirectly on raw imperial power.**
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Executive Committee
Tuesday the 18th October 1904

Present Mess. Donell, Harrison, Henderson, Larranaga,
M. Donell, Margelorn, Mendl, Patterson,
Pirano, Pim, Reid, Roffey, Stephens, Shaw,
Webb, Giff.

Chairman M. H. M. Donell.

Minutes The Minutes of the previous Meeting were read and confirmed.

The following requests for appointment of Arbitrators having been made, and the fee of £5. 5. paid in each case, the Committee proceeded to ballot, with the following results:

1. Mess Geo. Roffey, Son v. Mess Pirano & Mess Antonovich & Pim Arbitrators
2. M. Sigmund Cohn v. M. Elmann, Kaufmann
Mess Pirano & Pim

The Secretary read the following Report from the East Indian Committee.

TELEPHONE NO 4070.
TELEGRAPHIC ADDRESS
"CONSIGNMENT, LONDON"

London Corn Trade As
Exchange Chambers,
22, St. Mary.
London.

To the Chairman
of the Executive Committee.

Dear Sir,

It was left to the President and Mr Giff to write the letter to the Bombay Chamber of Commerce to be sent at the next Meeting.

The President suggested that the Matter might be met by the omission of the word Unit and simply leaving a blank space to fill in the description of the unit, according to the Contract made.

Mr Webb moved seconded by Mr Pim that the Matter be referred back to the Sub Committee which prepared the form.

Mr Henderson moved seconded by the Chairman that the Unit should be left blank; but the Committee being opposed to this the Amendment was withdrawn; and Mr Webb's Motion was put to the Meeting and lost, only 4 voting in favour of it.

The Matter then dropped.

It was notified that Mr J. R. Arivas ceases his Membership.

Mr Theo. Bassett was granted his weeks leave of absence from the Appeal Committee.

TELEPHONE No. 4070 AVENUE.

TELEGRAPHIC ADDRESS.
"CONSIGNMENT, LONDON"

CODE 8TH EDITION A.B.C.

London Corn Trade Association. 1

Exchange Chambers,
28, St. Mary Awe.

London. E.C. 1st March 1906

The Members of the Committee of Appeal, elected by ballot, to hear the Appeal presented by Messrs. Eriksen & Christensen

against the award of Messrs. Delcomyn, Duck & Antunovich

in respect to a parcel of Rye per "J. M. Werner"

say 1050 tons shipped under Contract dated the variously 19th , having considered

the case of each of the disputing parties respectively, and examined the samples, do hereby decide to vary the original award, dated the 7th February 1906, as follows:—

That is to say to award, and they do hereby award that

Sellers shall pay to their respective Buyers within seven days from this date an allowance of 1/- say One Shilling per 480 lbs English delivered on the about 1050 Tons of Rye for inferiority. And further award that Sellers shall pay Buyers the Appeal fees of £15.75. —

Ant. M. Donell
Chairman of the day

Arbitration Fees and Expenses say £10 : 9/- to be paid viz: £9.19. by Messrs. Kreyfust 3/- by Messrs. L. Paulsen & Co and 3/- by Messrs. H. Sievers Jun

LONDON CORN TRADE ASSOCIATION. 1.

EAST INDIAN WHEAT CONTRACT.

PARCELS.
LONDON TERMS.

1896.

Entered at Stationers' Hall.

LONDON,

189

Domiciled in London.
on the printed conditions and rules endorsed on this contract.

About (2 per cent. more or less)

say
of fair average quality of the season's shipments, at time and place of shipment.

about as per sample due allowance being made for handling and smallness of sample.

The grain is not warranted free from defect, rendering the same unmerchantable, which would not be apparent on reasonable examination, any statute or rule of law to the contrary notwithstanding.

Shipping, shipped, or to be shipped per first-class (Greek and Turkish sailing vessels excepted), classed not lower than 80s for steamers, and for sailing vessels not lower than A 1 in red English, 5/6 1 1 French

Veritas, or equal classification in Austrian, Norwegian, Italian, or other equal Register, from via the

Shipment made, or to be made, and Bill or Bills of Lading dated, or to be dated reckoning provisionally 2730 Basar

Maunds of 82 lbs. English, equal to 100 Tons, at the price of less per cent.

say

per 492 lbs. net delivered, including Freight, as per Bill or Bills of Lading, and Insurance to London, and including the usual

double gunny, or double Borneo Company's bags, or bags equal in value thereto. No charge for Dunnage. To discharge as customary,

and as per Bill or Bills of Lading. Payment, cash in London, within seven days from the day on which Invoice is handed, less discount

for the unexpired term of months from date of Bill or Bills of Lading at Bank rate of the day on which payment is

made, but not less than 5 1/2 per annum, in exchange for Bill or Bills of Lading and Policies of Insurance (free of war risk) effected

with approved underwriters, but for whose solvency Seller is not responsible.

If vessel be discharged on the Continent the out-turn to be computed at 50 1/2 kilos. equal to 112 lbs. English, in French, Belgian and

Dutch Ports, 1016 kilos. equal to 2240 lbs. English, in German Ports.

The Company in whose Dock the ship discharges shall be ordered to weigh at Buyer's expense one sound and undamaged bag in every

20 as they rise from ship or quay, or every bag, at Buyer's option, and two in every hundred shall be emptied to ascertain the tare (the

weight of said bags being weighed together), and the Dock Certificate shall settle the weight for final Invoice. Should Buyer elect to

have one bag in every 20 weighed for average, then sack bags to be weighed separately.

All sea-water-damaged and sweepings to be rejected.

Seller to give Policy or Policies of Insurance for 2 1/2% over the net invoice amount, plus the 2.....% on the gross Invoice amount, and

any amount over this to be for Seller's account.

All Average to be for Seller's account. In the event of Average, the deficiency or surplus account shall be settled as soon as the

out-turn is ascertained, and buyer shall have furnished seller with the usual documents required by Adjusters for preparation of

Average Statement, also with the Policy or Policies of Insurance received from seller, plus Policy or Policies for any amount necessary

to cover under the terms of this contract the value which this shipment contributes to General, and or Particular Average, irrespective

of any amount that may have been over insured by the seller, in default of which buyer shall pay to the seller whatever deficiency the

latter is unable to collect from the Underwriters in consequence.

Should Average statement be made up on the Continent, the deficiency or surplus account shall be settled as soon as the out-turn is

ascertained, and the seller shall pay to buyer the amount due for General and also for Particular Average, if any, on buyer handing

back to seller the Policy or Policies of Insurance as provided above, together with the Average Statement.

Should shipment be prevented by prohibition of export, blockade, or hostilities, this Contract, or any unfulfilled part thereof, to be

cancelled.

Seller to pay our Brokerage of per cent. on the gross provisional Invoice amount, contract cancelled or not cancelled.

Buyer and Seller agree that, for the purpose of proceedings, either legal or by arbitration, this Contract shall be deemed to have been

made in England, and to be performed there, any correspondence in reference to the offer, the acceptance, the place of payment or

otherwise notwithstanding, and the Courts of England or Arbitrators appointed in England, as the case may be, shall, except for the

purpose of enforcing any award made in pursuance of the Arbitration clause hereof, have exclusive jurisdiction over all disputes which

may arise under this contract. Such disputes shall be settled according to the law of England whatever the domicile, residence, or

place of business of the parties to this contract may be or become. Any party to this contract residing or carrying on business in a

foreign country, shall, for the purposes of proceedings, be considered as ordinarily resident or carrying on business at the Consulate in

London of the country of his residence or place of business. Any party to this contract residing or carrying on business either in

Scotland or Ireland, shall, for the purposes of such proceedings, and being a party residing or carrying on business in Scotland, shall be held to have

office of the London Corn Trade Association, and being a party residing or carrying on business in Ireland, shall be

prorogated jurisdiction as against himself to the English Courts. The service of proceedings upon

held to have submitted to the jurisdiction, and to be bound by the decision of the English Courts, by leaving the same at such Consulate, and upon a party residing or

carrying on business either in Scotland or Ireland, by leaving the same at the office of the London Corn Trade Association, together

with the posting of a copy of such proceedings to the address abroad, or in Scotland or Ireland of such party, shall be deemed good

service, any rule of law or equity to the contrary notwithstanding.

Difference in quality shall not entitle the Buyer to reject, except under the award of Arbitrators or the Committee of Appeal, as the

case may be. All disputes from time to time arising out of this contract, including any question of Law appearing in the proceedings,

Buyers have the option of paying as within, or by a deposit of per quarter within 7 days after receipt of Invoice, and notice that Documents are to be sent to bond and balance on arrival of vessel, or expiry of prompt, whichever may happen first.

Voluntary clauses, ie the specifics of the transactions: standard of grain, price, volume, date of shipment, etc.

Adhesion clauses,
Sampling of grains at arrival
Loss sharing after sea damages
Contract is made under English law, parties fictionally domiciled in London
Conditions for resolving disputes over quality of grains,

RULES.

[illegible]

2. **BILL OF LADING** to be considered a separate contract. In the event of shipment of the said 1s. per ton shall be paid by the Seller. Each shipment to be considered a separate contract. In the event of shipment of the said 1s. per ton shall be paid by the steamer refusing to contribute the 1s. per ton in accordance with the Dock rates of 1877, the said 1s. per ton shall be paid by the Seller.

3. NOTICE TO RETIRE DOCUMENTS shall be given by the last Buyer at his Seller's office, and also at the original Seller's office, before 11.45 a.m. on the day of payment.

4. **REJECTIONS AND DIFFERENCES IN WEIGHTS** shall be settled at the cost, freight and insurance market value of the quality guaranteed, on the day on which delivery order for rejections and/or Dock warrant is tendered, or not a market day, the previous market day. The claim for settlement to be made within **21 days** of the receipt of the Dock Company's final return.

5. **MARKS.**—Any deviation of marks from B/L or invoices not to be objected to, so long as the goods are of the same quality and quantity as specified in the contract, and the bags bear the *bona fide* mark of the shippers. Any expenses incurred in landing and assorting deviating

6. **SEA DAMAGED.**—Receiver shall and first Seller may give orders to the Dock Company in whose Dock vessel the wheat is landed be outward appearance. Water stained bags not caked or crusted shall be stabbed, and if the wheat be

6. SEA DAMAGED: received and discharged to sort by outward appearance. Water stained bags not caked or crusted shall be stacked and uncrushed. Bags damaged by sea water the same shall be received by Buyer.

7. **SAMPLES** to be drawn by the Dock Company in whose dock the ship discharges, from two or more sound bags in every hundred, as they rise from the ship. Should either Seller or Buyer require more than two bags sampled in every hundred, the extra expense to be borne by the party giving such orders. The sealed Dock sample to be taken as correct and final in the case of arbitration.

8. WEIGHTS.—Docks to weigh in all cases for average. If after 21 days of final discharge no other Dock Certificate be produced, the average weights shall be final.

[illegible]

10. **QUALITY**—Should it be decided by arbitration that the wheat shipped is of a distinctly different description to that guaranteed in this contract, Seller shall, if required, receive the wheat back at the cost, freight and insurance market value of the day on which the award is made of the quality guaranteed; or should the Buyer keep the wheat, the Seller shall pay such an allowance for inferiority or difference in quality as may be awarded by arbitration in London, but it shall be in the discretion of the arbitrators to give in either case damages, if any, not exceeding 2% per quarter, over and above the difference in value, according to the special circumstances of the case.

11. **NOTICE OF ARBITRATION** to be given and Arbitrator nominated in writing by the last Buyer to the last Seller (and by other Buyers in due course) not later than **14 days** after the making up of the London Corn Trade Association Sample for the month of Arbitration (calling Vessels or Steamers not having arrived when the Standard Samples were made up not later than **21 days** after the Dock Sample is to hand), but if the Sample is not forwarded to the offices of the London Corn Trade Association, and the Buyer does not instruct his Arbitrator to proceed with the Arbitration within a further **14 days**, the notice of Arbitration to be void.

12. **SETTLEMENTS.**—After the documents have passed, first Seller and last Buyer may settle all claims together, in which case the intermediate provisional invoices shall become final.

13. THE POLICIES are to be for the benefit of Seller, and are to be returned to him on final settlement, except in case of total loss.

14. Any COMMISSION ON FREIGHT as per charter-party or return of premium on policies of insurance to be for the benefit of Seller, but any discount for payment of freight in cash to be for the benefit of Buyer.

15. **ARBITRATION.**—All disputes arising out of this contract shall be from time to time referred to two Arbitrators

[illegible]

The Arbitrators appointed shall be in all cases Principals engaged in the Corn Trade as Merchants, Millers, Factors, or Brokers, and members of the London Corn Exchange, or Baltic. Any person having an interest in the matter in dispute shall be incompetent to act as Arbitrator.

The award of any two Arbitrators in writing (subject only to the right of appeal hereinafter mentioned) shall be conclusive and binding upon all disputing parties, both with respect to the matter in dispute and all expenses of and incidental to the reference and award.

Any member of the Committee having an interest in the matter in dispute shall not vote thereon.

Any member of the Committee having an interest in the matter in dispute, shall not vote on the question of the appointment of Arbitrators.

In case either party shall be dissatisfied with the award, a right of appeal shall lie to the Committee of Appeal elected for that purpose, and in accordance with the rules and regulations of the London Corn Trade Association, in force at date of Contract, provided notice be given to the Secretary of that Association before 4 o'clock p.m. on the fourth business day after that on which the objecting party shall have notice of the award, and

that on which the objecting party shall have notice of the award, and provided also the Appellant (if a member of the Association) do pay to the Association, on giving notice of appeal as above, the sum of £15 15s., as a fee for the investigation Or provided also the Appellant (if not a member of the Association) do pay in like manner and for the like purpose to the Association the sum of £21.

The award of the Committee of Appeal, whether confirming the original award

The award of the Committee of Appeal, whether confirming the original award or varying such award, shall be signed by the Chairman of the Committee, whose signature as Chairman shall be conclusive, and when signed shall be deemed to be the award of the Committee, and shall in all cases be final.

Notice under this Rule to be given in writing, and delivered personally, or left at the usual place of business of the person or firm to whom they are addressed.

Reference to the Invoice
(#1), the Bill of Lading
(#2) and the Insurance
policy (#12)

Contingent clause if the buyer defaults, etc.

Rules of Arbitration:
composition of the
panels, fees, delays,
Appeal procedure, etc.

A very English institution

- ❑ Dealing only with local, private market authorities and writing the main local rules & customs in the standard contracts allowed the LCTA to **circumvent the legal and judicial orders of all (non-English) trading countries, hence Conflicts of law procedures.**
 - ❑ Yet, all standard contracts followed English law and were ultimately interpreted and enforced by the **high London courts: this increased legal safety and legitimacy.** But very few cases ended up there. And the courts typically deferred to the decisions of the arbitrators. So this was a high-value/ low-cost relation to official courts.
 - ❑ This private **market order was thus local and global** at the same time. **Hence imperial.** It's an almost pure example of a local set of rules that applies de facto on an extra-territorial basis.
 - No question for decades, in the Minutes of the Executive Committee, of how to deal with an Belgian, Russian, American or Australian judgment; or what to do with specific points of law regarding Belgian contract law or French arbitration law.
 - ❑ Read Sgard. 2025. Imperial politics, open markets and private legal ordering: The global grain trade (1875–1914). *Journal of Global History*.
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The Baltic Exchange,
where grain and
shipping contracts were
negotiated;
The Lloyds were about
400m away, and
Merchant banks all
around.



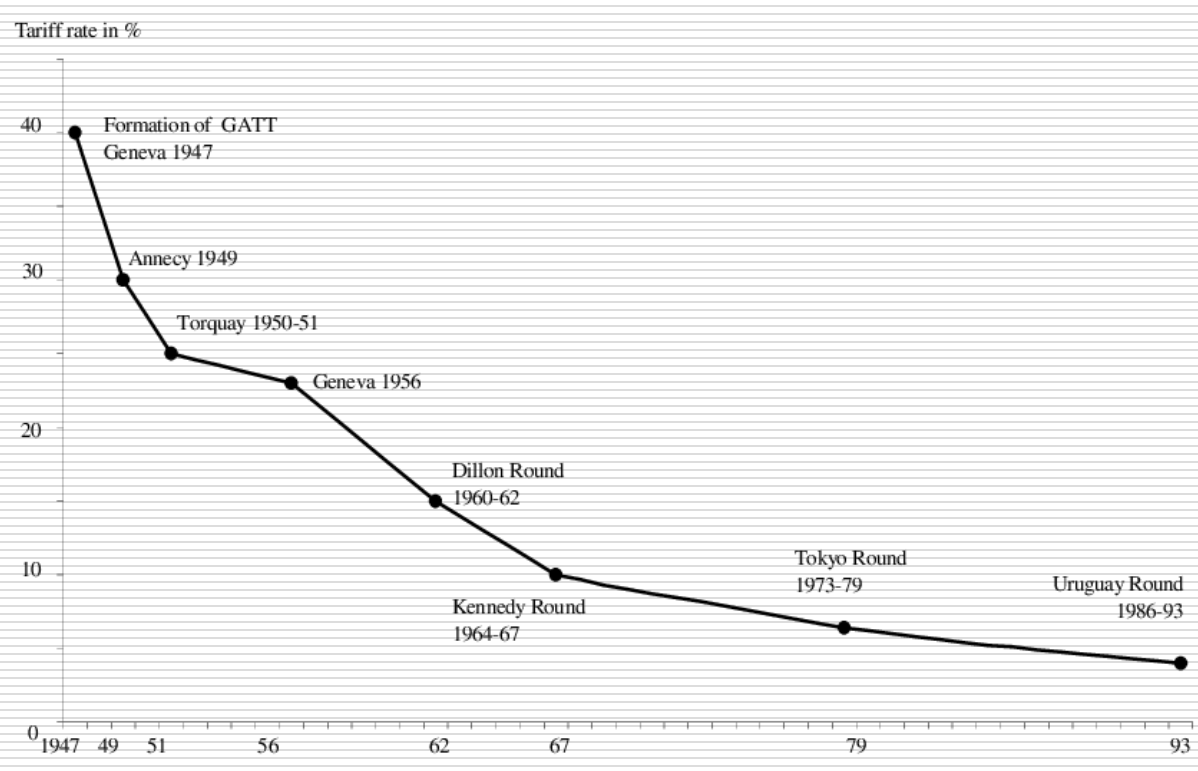
Part 2 - the Gatt/ WTO system

- The GATT/ WTO was part of the post-WWII 'American project' of rebuilding the international economy, step by step:
 - a long-term recovery of trade conditions prosperity, hence international stability (think to the UN, Nato, etc);
 - but it also calls for a stable, well-regulated exchange rate system (hence the Imf and the 'Bretton Woods' regime (1946-1971/73))

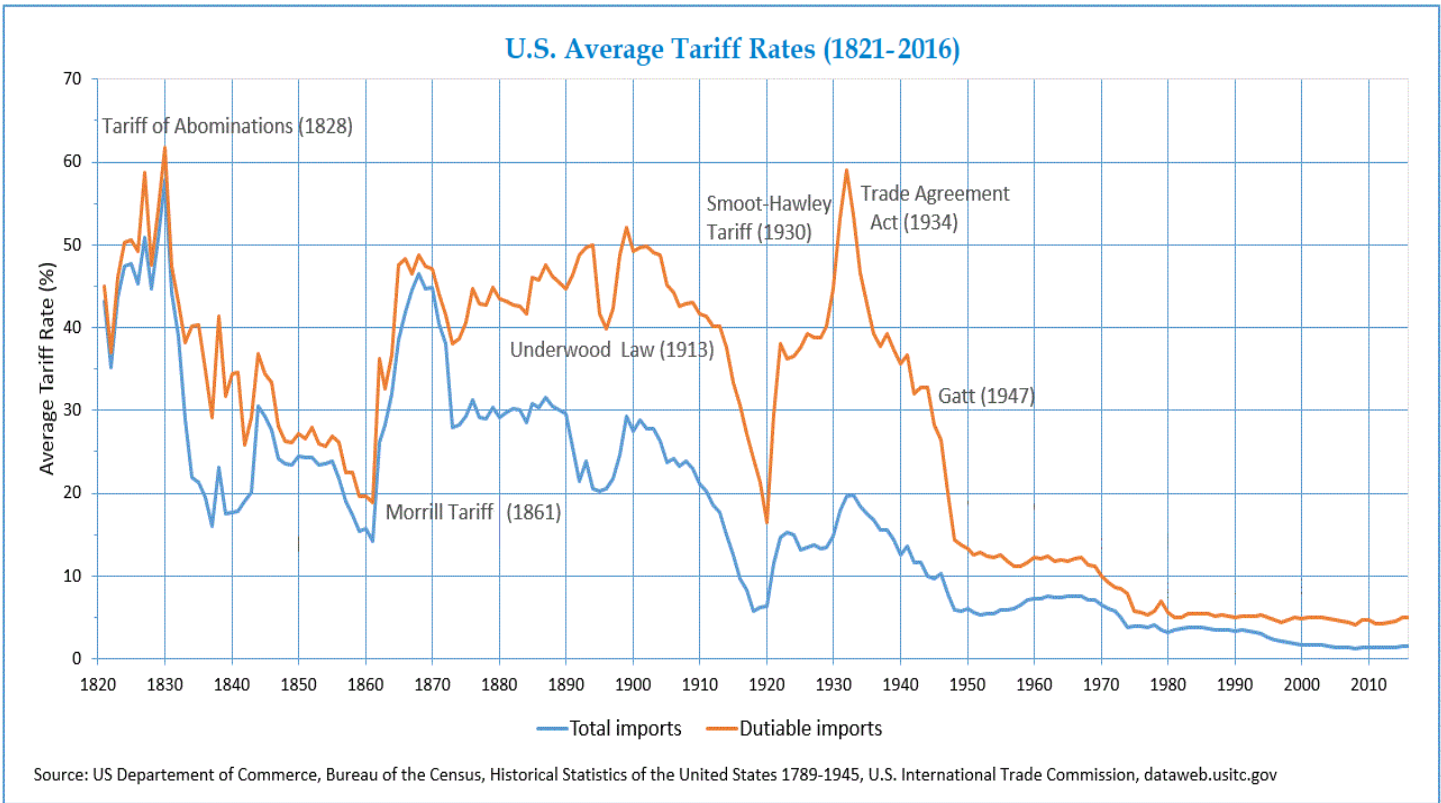
 - Yet, as for trade, the initial plan failed:
 - July 1944: Bretton Woods (IMF & World Bank)
 - June 1945: San Francisco (United Nations)
 - March 1948: La Havana Conference on Trade and Employment;
 - Havana Charter and the Intl Trade Organization
 - **And the US decision not to ratify the ITO treaty: GATT**
 - April 1994: Marrakech agreement,
 - 1995: creation of the World Trade Organization
 - Adhesion of Central & Eastern Europe during the 1990s
 - Chine: 2001; Russia in Aug 2012 (156th member).
-

Gatt/ WTO 'rounds'

dates	name	duration	number of countries
1947	Geneva	< 1 year	23
1949	Annecy	< 1 year	13
1951	Torquay	< 1 year	38
1956	Geneva	< 1 year	26
1960-61	Dillon Round	< 1 year	26
1964-1967	Kennedy Round	3 years	62
1973-1979	Tokyo Round	6 years	102
1986-1994	Uruguay Round	> 7 years	123
2001-	Doha Round	dead ???	160



Average tariff under GATT agreements, 1947-1993



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- GATT/ WTO is first of all a (large and complex) negotiation framework that regulates (or should regulate) international trade. **WTO is first a process.**
 - Hence: a forum for negotiation, governed by a one country/ one vote rule,
 - In practice **decisions are made on a consensus basis**: as long as a country is not explicitly against a given decision, it is counted approving it.
 - Enormous amount of time spent on bargaining, building coalition, etc. That is: the (enormous) transactions of multilateral decision-making.
 - No discrimination between domestic firms (esp. 'national champions') and foreign firms;
 - No dumping: a member state can call on the WTO if it thinks it is discriminated and actually hurt by a third country.
 - Hence and underlying tension between the WTO regime and industrial policy, if they discriminate between firms, or try to 'pick the winner'.
 - **But WTO is not just a 'legislative' body: it also has a quasi-judicial arm**
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□ The Dispute Settlement at the WTO

- Starting from embryonic forms of adjudication under the GATT, the WTO's Dispute Settlement Body (or 'Mechanism', DSB) was institutionalized in 1994, with the view of moving away from direct negotiation, brokering & power relationship and towards a more law-based, predictable process.
 - The initiative came from the US and was certainly marked by the aspirations of the early 1990's, in the Post-Cold War years: the (now-unified, globalizing) world had to be regulated on more institutionalized, legalized basis. 'International legalization' and the expansion of international courts were powerful trends, in the 1990s.
 - The aspiration to a relatively de-politicized governance probably also reflected a moment when geopolitical conflicts were seen as on the wane and US hegemony and market-oriented policies uncontested. **Maybe like classic multilateralism.**
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□ Here is how the Dispute Resolution Mechanism work(-ed):

- 2 months for consultation & mediation, post-submission
 - A “panel” of 3 (sometimes 5) experts hears the parties, confront arguments and evidences, and prepares a report (7-8 months); panelists are chosen by the Secretariat of DSB, out of a list trade lawyers, proposed by their government.
 - The DSB adopts the **panel report** (2-3 months). Total circa One Year
 - The case may then be submitted to the **Appellate Body (AB)** and heard by three members of the permanent 7-members AB . Each nomination to the AB has to be accepted by all member-states (negative consensus rule): US and EU always had a national on the AB, de facto.
 - An appellate procedure takes another 3 months, plus ca. one month for the DSB to adopt the appeal report. It only addresses matter of law, not fact.
 - **The great 1995 revolution: final decision is binding, unless member-states decide by consensus not to endorse it. This has never happened so far.**
 - If the losing party does not correct its policy, another process may authorize the winner to impose “compensatory measures”
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Conclusions

- Until recently, the common wisdom was that free-trade during the Second global era was much more entrenched before 1914:
 - A strong consensus of intl policy makers, incl. in emerging countries that benefited most of open trade (E. Asia, Central Europe, etc);
 - The GATT/WTO back-up, as a place where to negotiate on common rules;
 - After 1995, the emergence of the DRM as a quasi-judicial power, long seen as 'the jewel' or the touchstone of the intl trading system

 - But the intl trading system is today in a deep crisis:
 - Already under Pdt Obama, then under Trump-I the US became increasingly critical of the DSB and resisted confirming new members of the Appellate Body; today the whole DSB is in a limbo
 - Trade war with China (Trump1) and with the whole world (T2) is completely alien to free-trade principles, as inherited from 19th c. and the GATT/WTO legacy. We are back to coercive hegemony based on market-power.
 - China's policies of large subsidies to whole industries and 'unloading' of excess production on foreign markets also reflects a non-cooperative approach.
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